

23STCV01336 23STCV01336

County: los-angeles

Division: Civil Law and Motion

Department: 729

Hearing date: 2026-07-17

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Case Number: 23STCV01336 Hearing Date: July 17, 2026 Dept: 729

Superior

Court of California

County

of Los Angeles

DEPARTMENT 729

TENTATIVE

RULING

URBAN COMMONS

DANBURY, LLC, et al.,

vs.

CLAYDON HILL

INVESTMENTS LTD, et al.

Case No.: 23STCV01336

Hearing Date: July 17, 2026

Defendants

Claydon Hill Investments Ltd's, Compass Cove Assets Limited's, Bounty Green

Assets Ltd's, Frank Yuan's, Norbert Yuan's, Jerome Yuan's, and ASAP

International Hotel, LLC's motion for terminating sanctions is denied.

Defendants'

request in the alternative for issue sanctions is granted. This Court grants issue sanctions establishing that Plaintiffs' managers misrepresented to Defendants that the DPO assumption agreements were intended to ensure Defendants would receive payment for the six properties owned by Defendant ASAP.

Defendants'

request in the alternative for evidentiary sanctions is denied.

Defendants Claydon

Hill Investments Ltd ("Claydon Hill"), Compass Cove Assets Limited ("Compass Cove"), Bounty Green Assets Ltd ("Bounty Green"), Frank Yuan ("Frank"), Norbert Yuan ("Norbert"), Jerome Yuan ("Jerome"), and ASAP International Hotel, LLC ("ASAP") (collectively, "Defendants") move for terminating sanctions against Plaintiffs Urban Commons Frontera, LLC ("Frontera"), Urban Commons Highway 111, LLC ("Highway 111"), Urban Commons HIDH, LLC ("HIDH"), Urban Commons Bayshore, LLC ("Bayshore"), Urban Commons Continental, LLC ("Continental"), UCQ Holding, LLC ("UCQ Holding"), and Urban Commons Riverside Blvd, LLC ("Riverside") (collectively, "Plaintiffs") for their willful destruction of critical evidence central to this litigation. (Notice Motion, pg. i; C.C.P. §§2023.010, 2023.010(d), 2023.030(b), 2023.030(c); Evid. Code §413.)

Defendants move

in the alternative for issue or evidentiary sanctions. (Notice Motion, pgs. i-ii.)

Defendants move

on the grounds that Plaintiffs' managers, Howard Wu ("Wu") and Taylor Woods ("Woods"), spoliated evidence as late as March 2026—three years into this action, which Plaintiffs first threatened in 2019—by destroying text messages and emails on the devices and in the accounts they primarily used to conduct Plaintiffs' business. (Notice Motion, pg. ii.) Defendants move on the basis that these communications—particularly the communications between Wu and Woods—are both irreplaceable and critical to Defendants' ability to prove their affirmative defense that Wu and Woods fraudulently induced Defendants to sign the agreements at the center of this case. (Notice Motion, pg. ii.)

Evidentiary Objections

Plaintiffs' 7/6/25 evidentiary objections to the Declaration of Grant B. Gelberg ("Gelberg") are overruled as to 1, 2a, 2b, 3a, 3b, 4, 5a, 5b, 6, 7, and 8.

Background

On April 24, 2026, Defendants filed the instant motion. On July 6, 2026, Plaintiffs filed their opposition. On July 10, 2026, Defendants filed their reply.

Terminating Sanctions

The Court, "after notice to any affected party . . . and after opportunity for hearing," may impose terminating and/or monetary sanctions for misuses of the discovery process. (C.C.P. §2023.030(a) and (d).) Misuses of the discovery process include failing to respond or to submit to an authorized method of discovery and disobeying a court order to provide discovery. (C.C.P. §§2023.010(d), (g).)

C.C.P. §2031.310(j)(1) provides, "[n]otwithstanding subdivisions (h) and (i), absent exceptional circumstances, the court shall not impose sanctions on a party or any attorney of a party for failure to provide electronically stored information that has been lost, damaged, altered, or overwritten as the result of the routine, good faith operation of an electronic information system." (C.C.P. §2031.310(j)(1).) C.C.P. §2031.310(j)(2) provides, "[t]his subdivision shall not be construed to alter any obligation to preserve discoverable information." (C.C.P. §2031.310(j)(2).)

"A decision to order terminating sanctions should not be made lightly. But where a violation is willful, preceded by a history of abuse, and the evidence shows that less severe sanctions would not produce compliance with the discovery rules, the trial court is justified in imposing the ultimate sanction." (*Mileikowsky v. Tenet Healthsystem* (2005) 128 Cal.App.4th 262, 279-280.) When deciding whether to impose terminating sanctions, courts generally weigh three factors: (1) whether the party subject to the sanction acted willfully, (2) the detriment to the party seeking discovery, and (3) the number of formal and

informal unsuccessful attempts to obtain discovery. (Creed-21 v. City of Wildomar (2017) 18 Cal.App.5th 690, 702; Lang v. Hochman (2000) 77 Cal.App.4th 1225, 1246.) Nonmonetary sanctions require evidence of willful violations of discovery orders or a history of egregious abuses of discovery. (R.S. Creative, Inc. v. Creative Cotton, Ltd. (1999) 75 Cal.App.4th 486.)

“Once

a party reasonably anticipates litigation, it must . . . put in place a ‘litigation hold’ to ensure the preservation of relevant documents.” (Ellis v. Toshiba American Information Systems, Inc. (2013) 218 Cal.App.4th 853, 862.) A party may be sanctioned only for destroying evidence that it had a duty to preserve. (Victor Valley Union High School District v. Superior Court (2023) 91 Cal.App.5th 1121, 1144, citations omitted.) “The duty to preserve evidence arises when the party in possession and/or control of the electronically stored information was objectively aware the evidence was relevant to reasonably foreseeable future litigation, meaning the future litigation was probable or likely to arise from an event, and not merely when litigation was a remote possibility.” (Id. at pg. 1138.) Whether litigation is “‘reasonably foreseeable’ ‘is an objective standard, asking not whether the party in fact reasonably foresaw litigation, but whether a reasonable party in the same factual circumstances would have reasonably foreseen litigation.’” (Id. at pg. 1144, citations omitted.)

A party thus cannot avoid liability for spoliation by shifting blame

to its agents:
the duty to preserve documents encompasses a duty to ensure that agents preserve relevant documents. (Slesinger, Inc. v. Walt Disney Co. (2007) 155 Cal.App.4th 736, 769.)

Here, there is no history of abuse of the discovery process that would justify this Court granting terminating sanctions. In Victor Valley Union High School District v. Superior Court (2023) 91 Cal.App.5th 1121, which follows a similar fact pattern of pre-litigation spoliation of evidence, the Court of Appeal remanded its ruling in part on the basis that “the

sanctions it imposed were tantamount to terminating sanctions” and the “court must consider whether some lesser form of sanction will remedy the discovery violation before it imposes the same or similar issue and evidence sanctions that it did before.” (Id. at pg. 1159.) “[T]he sanction chosen should not provide a windfall to the other party, by putting the prevailing party in a better position than if he or she had obtained the discovery sought and it had been favorable.” (Kwan Software Engineering, Inc. v. Hennings (2020) 58 Cal.App.5th 57, 75.) Here, granting terminating sanctions would result in a windfall to Defendants and therefore is not appropriate.

Accordingly,
Defendants’ motion for terminating sanctions is denied.

Issue
Sanctions

In the alternative, Defendants move
for this Court to grant issue sanctions establishing that Plaintiffs’ managers misrepresented to Defendants that the

deferred payment
obligation (“DPO”) assumption agreements were intended to ensure Defendants would receive payment for the six properties owned by Defendant ASAP. (Motion, pg. 15, citing Kuhns v. State of California (1992) 8 Cal.App.4th 982, 988-990 [stating court may impose issue sanction to place non-spoliating party in as a good a position as it would have been in had the

spoliated
evidence been favorable to movant].)

Here, issue sanctions are appropriate because
Plaintiffs could reasonably foresee litigation of this dispute as early as June 2019, when Defendants began selling the allegedly pledged EHT shares while notifying Plaintiffs of (and,

in some cases,
involving Plaintiffs’ manager in) those sales.

(See 9/23/25 Ruling on Motion for Summary Adjudication). Plaintiffs contend that those share sales gave rise to their claim for breach of contract. (5AC ¶¶30-35, 50-55.) Defendants produced evidence that in August 2019, Plaintiffs threatened to sue Defendants, asserting that they had not been

paid for the DPO and that they reserved the right to enforce the Pledge Agreement by “proceed[ing] with [a] takeover action” to recover the allegedly pledged shares. (Decl. of Gelberg ¶8, Exh. D at DEF_00021479; Decl. of Gelberg ¶16, Exh. L at 135:23-136:4 [showing Woods Exhibit 81, now identified in Defendants’ motion as Exhibit D.].) Plaintiffs’ managers now admit that they considered the default under the DPO actionable when Plaintiffs did not receive payment by January 31, 2021. (Decl. of Gelberg

¶16, Exh. L at 27:15-28:1.) Plaintiffs’ manager, Wu, understood that that non-payment meant Defendants “defaulted on their obligation. And [Plaintiffs] had to do something about it.” (Decl. of Gelberg ¶17, Exh. M at 85:4-6.) Plaintiffs were aware that litigation was likely and had a duty to preserve relevant evidence beginning in June 2019 (and certainly no later than January 31, 2021).

Plaintiffs’ preservation obligation required them to ensure that Wu’s and Woods’s emails and text messages about Urban Commons’ business, including the transactions at the heart of this case, would not be destroyed. Wu and Woods were Plaintiffs’ managers and operators. On Plaintiffs’ behalf, Wu and Woods signed the three contracts cited in Plaintiffs’ 5AC: the DPO Assumption Agreement (Wu), the Pledge Agreement (Wu), and the First Amendment Pledge Agreement (Woods). (5AC ¶¶26-34, Exhs. 1, 2, 3; Decl. of Gelberg ¶6, Exh. B at DEF_00035777-00035779; Decl. of Gelberg ¶16, Exh. L at 38:9-40:10; Decl. of Gelberg ¶7, Exh. C at UC PLAINTIFFS 001012; Decl. of Gelberg ¶16, Exh. L at 90:25-91:8; Decl. of Gelberg ¶9, Exh. E at UC PLAINTIFFS 001017; Decl. of Gelberg ¶16, Exh. L at 94:12-22.) Critically, Wu and Woods conducted Plaintiffs’ business primarily through texts and emails on their personal cell phones and email accounts. (See, e.g., Decl. of Gelberg ¶5, Exh. A; see also Decl. of Gelberg ¶18, Exh. N at 313:9-23; Decl. of Gelberg ¶16, Exh. L at 140:11-141:3, 141:25-143:10, 233:24-234:12; Decl. of Gelberg ¶22, Exh. R at ¶3.)

As Plaintiffs’ managers and signatories to the key agreements, Wu’s and Woods’s understanding of and discussions about those agreements are highly relevant to this case and critical to Defendants’ defense that Wu and Woods entered into those agreements dishonestly. (See FAXC ¶¶45-49, 52-53.) Those key discussions existed in

Wu's and Woods's personal email accounts, iCloud accounts, and cell phones. (Decl. of Gelberg ¶22, Exh. R at ¶¶2-3; see also Decl. of Gelberg ¶16, Exh. L at 140:11-141:3, 233:24-234:12; Decl. of Gelberg ¶5, Exh. A at EPROD-SEC-DEF-000833129_0002; Decl. of Gelberg ¶18, Exh. N at 313:9-23; Decl. of Gelberg ¶16, Exh. L at 141:25-143:10.) Plaintiffs' duty to preserve relevant evidence, then, required them to ensure that Wu and Woods retained those critical communications.

Despite Plaintiffs' reasonable anticipation of litigation and knowledge that the emails and text messages of their managers, Wu and Woods, would be relevant to this action, Plaintiffs made no effort to instruct their agents to retain documents until July 2023, six months after they filed this action and four years after they reasonably should have anticipated litigation. (Decl. of Gelberg ¶13, Exh. I at 3:11-4:21; Decl. of Gelberg ¶18, Exh. N at 376:3-12, 397:18-398:22.)

Wu deleted all Gmail emails from between April 2019 and March 2020. (Decl. of Gelberg ¶13, Exh. I at 3:11-4:10; Decl. of Gelberg ¶18, Exh. N at 376:3-12, 397:18-398:22.) In late 2022, immediately before filing this action in January 2023, Wu possessed his texts on his cell phone and in an iCloud account but disposed of both the phone and his account. (Decl. of Gelberg ¶18, Exh. N at 306:20-310:19, 314:19-315:10, 399:4-400:17 [stating he transferred data from his iPhone 13 to iPhone 14 himself (not seeking help of Apple employees) and some iMessages did not transfer, and then later traded in his iPhone 13].)

Defendants met their burden to demonstrate Plaintiffs spoliated evidence, shifting the burden to Plaintiffs to disprove prejudice to Defendants. (Williams v. Russ (2008) 167 Cal.App.4th 1215, 1227.) Plaintiffs fail to demonstrate that Defendants are not prejudiced by the spoliated evidence. Plaintiffs argue that the evidence at issue is not relevant to the single remaining cause of action in this case for conversion because "[n]one of the 'missing' texts are relevant to the conversion cause of action at all, since 'intent' is not an element of the tort, and as such is simply not relevant." (Opposition, pgs. 6-7.)

Plaintiffs' argument is not availing.

Plaintiffs' state of mind is directly relevant to at least two elements of conversion: (1) whether Plaintiffs in fact had any right to possess the

shares that Defendants sold, and (2) whether Plaintiffs in fact consented to Defendants' share sales. Wu and Woods destroyed their primary communications with each other and others about (1) the agreements that purportedly created their rights in the shares, (2) their knowledge of and consent to Defendants' share sales, and (3) the fraud they allegedly perpetrated on the Yuan Defendants. Moreover, Plaintiffs' opposition fails to address how its managers' destruction of their contemporaneous communications have irreparably harmed Defendants' affirmative defenses and cross-claims for fraudulent inducement, fraudulent concealment, and promissory fraud.

Accordingly, Defendants' motion in the alternative for issue sanctions is granted. This Court grants issue sanctions establishing that Plaintiffs' managers misrepresented to Defendants that the DPO assumption agreements were intended to ensure Defendants would receive payment for the six properties owned by Defendant ASAP.

Evidentiary Sanctions

The Court determines that the lesser sanctions of evidentiary sanctions or a limiting instruction would still keep Defendants at the unjust disadvantage. Plaintiffs assert that they intended the DPO Assumption Agreement and Pledge Agreements to have certain meaning or significance, while Defendants contend that Wu and Woods induced them to sign those agreements by claiming that the agreements had a different meaning or significance. Because Plaintiffs destroyed their agents' contemporaneous communications, Plaintiffs' assertions are rendered untestable. Plaintiffs' suggestion that the jury should make the determination of whether or not Plaintiffs willfully concealed or destroyed information does not sufficiently allow Defendants to prosecute their cross-complaint. Accordingly, lesser evidentiary sanctions or adverse jury inferences are not sufficient remedies to make up for Plaintiffs' destruction of evidence.

Conclusion

Defendants' motion for terminating sanctions is denied.

Defendants'

motion in the alternative for issue sanctions is granted. This Court grants issue sanctions establishing that Plaintiffs' managers misrepresented to Defendants that the DPO assumption agreements were intended to ensure Defendants would receive payment for the six properties owned by Defendant ASAP.

Defendants'

request in the alternative for evidentiary sanctions is denied.

Moving Party to

give notice.

Dated: July____, 2026

Hon. Daniel M. Crowley

Judge of the Superior Court